

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-17

SAMSUNG ELECTRONICS AMERICA, INC.,

COMPLAINANT,

v.

ORIENT OVERSEAS CONTAINER LINE, LIMITED
AND OOCL (EUROPE) LTD.

RESPONDENTS.

COMPLAINANT’S PETITION FOR ATTORNEYS’ FEES

Complainant Samsung Electronics America, Inc. (“Complainant” or “SEA”), by its undersigned attorneys, respectfully petitions for an award of reasonable attorneys’ fees pursuant to 46 U.S.C. § 41305(e) and 46 C.F.R. § 502.254 for the attorneys’ fees incurred responding to the ill-founded Counterclaim, appeal of the first dismissal, and Amended Counterclaim put forward by Respondent Orient Overseas Container Line Limited¹ and Respondent OOCL (Europe) Limited² (collectively, “Respondents” or “OOCL”) which alleged that the filing of a facially valid

¹ Respondent Orient Overseas Container Line Limited is an ocean common carrier as defined under 46 U.S.C. § 40102 (7) and (18) and is a controlled carrier as defined under 46 U.S.C. § 40102 (9) with the organization number 011398. As a controlled carrier of the People’s Republic of China since August 16, 2018, Respondent is subject to special or enhanced oversight by the Federal Maritime Commission.

² Respondent OOCL (Europe) Limited is an ocean common carrier as defined under 46 U.S.C. § 40102 (7) and (18) and is a controlled carrier as defined under 46 U.S.C. § 40102 (9) with the organization number 024786. As a controlled carrier of the People’s Republic of China since August 16, 2018, Respondent is subject to special or enhanced oversight by the Federal Maritime Commission.

complaint with the Commission to recover unreasonable demurrage and detention charges, itself violated the Shipping Act. *See* Order of Dismissal at p. 13 (Doc. No. 98).

SEA is the prevailing party in connection with the dismissal with prejudice of Respondents' Counterclaim (Doc. No. 38), the Appeal of the Order Granting Dismissal of Respondent's Counterclaim (Doc. No. 66), and the Motion to Dismiss Respondents' Amended Counterclaim (Doc. No. 98). In summary, Respondents doggedly put forward an irrational, retaliatory, and legally flawed theory that asserted a 46 U.S.C. § 41102(a) claim against Complainant, and which two different Administrative Law Judges and the Commission found legally deficient and dismissed accordingly.

As set forth herein, SEA is eligible for attorney fees as the prevailing party. Moreover, the Commission's Policy Statement on Attorney Fees strongly supports an award in this instance. The Counterclaim, the Appeal of the Order Dismissing the Counterclaim, and the Amended Counterclaim were all objectively unreasonable, inconsistent with controlling Commission precedent, needlessly multiplied litigation, and have caused delays in this proceeding. An award of fees will further the purpose of the Shipping Act by deterring plainly abusive counterclaims asserted to discourage the filing of facially valid reparation claims.

FACTUAL BACKGROUND

1. OOCL's Original Counterclaim and SEA's Motion to Dismiss

SEA filed its Verified Complaint against OOCL challenging its demurrage and detention practices on March 26, 2024. On May 13, 2024, OOCL moved to dismiss the Complaint in its entirety. The ALJ dismissed two counts of SEA's Complaint (alleging retaliation and refusal to deal), but sustained the remaining four counts for unreasonable practices (two counts), unreasonable charges, and non-compliant invoices. The ALJ required that Complainant serve an

Amended Complaint no later than December 2, 2024, with an Answer to that Amended Complaint due no later than December 12, 2024. However, when OOCL answered the Amended Complaint, it included with its Answer a Counterclaim alleging that SEA had used an “unjust or unfair device or means” to obtain transportation at less than applicable rates in violation of 46 U.S.C. § 41102(a), premised on SEA’s pre-complaint refund demands and the filing of this FMC proceeding. On January 21, 2025, SEA moved to dismiss OOCL’s Counterclaim.

On March 31, 2025, the ALJ granted SEA’s motion and dismissed the Counterclaim with prejudice, rejecting OOCL’s attempt to label SEA’s bringing of a facially valid FMC complaint as an “unjust or unfair device or means.” The ALJ found that “OOCL’s theory cannot, as a matter of law, result in a violation of §41102(a)” *Id.* at 5.

2. OOCL’s Appeal to the Commission and SEA’s Response

OOCL appealed Judge Chintella’s ruling (Doc. No. 41), arguing that the ALJ erred both in dismissing the Counterclaim, and in refusing to allow amendment. SEA was compelled to respond, reiterating the grounds for dismissal of OOCL’s Counterclaim with prejudice.

On July 30, 2025, the Commission affirmed the dismissal (Doc. No. 66), holding that SEA’s filing of a facially valid FMC complaint cannot be an “unjust or unfair device or means” or an effort to obtain transportation at less than applicable rates, and that SEA’s pre-complaint refund requests reflected no more than an open dispute over the charges at issue, which could not satisfy the “fraud or concealment” component of § 41102(a). The Commission also held that OOCL’s Counterclaim failed to plead the fact-based deception required by the statute, noting that “even if the Counterclaim did contain the allegations OOCL makes in its brief, it is not evident that they would present the kind of fraud or concealment required to allege an ‘unfair device’ under section 41102(a).” *Id.* at 18.

However, noting that OOCL's motion papers had raised theories not pleaded in the Counterclaim, the Commission granted OOCL leave to amend, but with the express warning that OOCL's theory, as articulated, did not satisfy § 41102(a) and that any amendment would need to allege facts comparable to the fraud or concealment required under Commission precedent.

3. OOCL's Amended Counterclaim

OOCL persisted, filing an Amended Counterclaim (Doc. No. 69) reasserting its single cause of action under 46 U.S.C. § 41102(a), and failing to heed the Commission's warning. It did not allege any false billing, false classification, false weighting, false reports of weight, or false measurements, or any other specific misrepresentation of fact comparable to the statutory examples. Despite cosmetic revisions, the allegations in the Amended Counterclaim were essentially the same as those that the Commission had found failed to state a plausible claim.

SEA moved to dismiss the Amended Counterclaim (Doc. No. 74). On November 26, 2025, ALJ Ambrow issued an Order granting SEA's motion and dismissing OOCL's Amended Counterclaim (Doc. No. 98), stating that the amended pleadings contained the same fundamental problem as the original pleading (*Id.* at 12-13). The November 26, 2025 Order noted that allowing OOCL to amend further would be futile and that in light of OOCL's "openly stating that it will continue to make appeals and cause delay, it raises the question whether dilatory motive is also a reason to deny leave to appeal." *Id.* at 13, FN 10.

On December 29, 2025, the Commission Secretary filed a Notice Not to Review (Doc. No. 101), stating that the November 26, 2025 Order had become administratively final.

LEGAL STANDARD

Under 46 U.S.C. § 41305(e), in a proceeding under 46 U.S.C. § 41301 "the prevailing party may be awarded reasonable attorney fees." The Commission's rules implementing § 41305(e) are

codified at 46 C.F.R. § 502.254. The Commission has explained that fee awards turn on a two-step inquiry: (1) whether the petitioner is a “prevailing party” and therefore eligible for attorney fees; and (2) if so, whether the petitioner is entitled to attorney fees in light of the purposes of the Shipping Act and the factors the Commission has identified. *Statement of the Commission On Attorney Fees*, Dkt. 21-14, 2021 WL 9204127 (FMC, Dec. 28, 2021) (“Policy Stmt”); *Bakerly v. Seafrigo*, Dkt. 22-17, slip op. at *8 (FMC, Jan. 22, 2026). The petitioning party bears the burden of proving both eligibility and entitlement and of supporting the reasonableness of the requested fees with appropriate documentation. 46 C.F.R. § 502.254(d).

1. Eligibility for Attorney Fees

The Commission first considers whether a petitioner is eligible for fees, that is, whether it is a “prevailing party.” A prevailing party includes those who successfully have an opposing party’s claims rebuffed or whose motions to dismiss are granted with prejudice. *Policy Stmt.*, at *2; *Bakerly* at *8-9. A rebuff of claims occurs when a challenge is rebuffed “irrespective of the precise reason for the court's decision” and need not be on the merits. *Baltic Auto Shipping, Inc., v. Michael Hitrinov*, Dkt. 14-16, 2017 WL 4924883, at *9 (FMC, Oct. 25, 2017) (citing *CRST Van Expedited, Inc. v. E.E.O.C.*, 578 U.S. 419, 431 (2016)) If the answer is yes, the Commission considers whether it should award fees to the petitioner. *Logfret, Inc. v. Kirsha, B.V. et al.*, Dkt. No. 18-10, 2020 WL 13512913, at *4 (FMC, Jun. 20, 2020).

2. Entitlement to Attorney Fees

The Commission’s primary consideration in determining entitlement to attorney fees is whether an award is consistent with the purposes of the Shipping Act. Final Rule, 81 Fed. Reg. at 10515. There is no presumption in favor of or against fees, and prevailing complainants and prevailing respondents are treated alike. *Id.* The Commission has identified a non-exclusive set

of factors, drawn from *Fogerty v. Fantasy, Inc.*, 510 U.S. 517 (1994), that guide the entitlement analysis. See *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, Inc.*, Dkt. No. 14-04, 2016 WL 511081 at *5 (FMC, Sept. 14, 2016). These factors include frivolousness, motivation, objective unreasonableness, and the need in particular circumstances to advance considerations of compensation and deterrence. *Id.* The Commission may consider additional factors depending on the issues raised in a specific case. *Policy Stmt.* at *4, n.22.

DISCUSSION

1. SEA Is Eligible for Attorney Fees

SEA is the prevailing party with respect to OOCL's counterclaims. The Presiding Officers dismissed OOCL's original Counterclaim with prejudice (Doc. No. 38 at 6) and dismissed OOCL's Amended Counterclaim and denied leave to amend on the grounds that doing so would be futile, while raising the question of whether OOCL's dilatory motive would also be a reason to deny leave to appeal. (Doc. No. 98 at 13). Those rulings wholly and completely rebuffed OOCL's § 41102(a) claim against SEA and materially altered the legal relationship between the parties. It is also administratively final (Doc. No. 101). Under the Commission's Policy Statement, a respondent is a prevailing party "when the presiding officer rebuffs a complainant's claims." *Policy Stmt* at *3. SEA is therefore eligible to seek attorney fees under 46 C.F.R. § 502.254.

2. SEA is Entitled to Attorney Fees

a. OOCL's Counterclaims were Objectively Unreasonable and Frivolous

OOCL's Counterclaims were not merely unsuccessful, they were premised on the subsequently discredited theory that a facially valid complaint against a carrier that had survived a motion to dismiss was an "unjust or unfair device" to obtain ocean transportation at below usual rates in violation of the Shipping Act. In dismissing the Amended Counterclaim, the Presiding

Officer found “reading the AMCC and ATPC carefully, all of the allegations ultimately turn on the resolution of the same claims that form the basis of the facially-valid VAC. And a legitimate dispute cannot be an unjust or unfair means or device” (Doc. No. 98 at 10).

Objective unreasonableness is generally used to describe claims that have no legal or factual support or basis, or are otherwise clearly without merit. *Logfret, Inc., v. Kirsha, B. V., et al.*, Dkt. No. 18-10, 2020 WL 13512913, at *4 (FMC, Jun. 22, 2020). OOCL’s Counterclaims were objectively unreasonable, as determined by:

Judge Chintella:

OOCL cites no authority for the unlikely proposition that a facially valid complaint to recover alleged overcharges (in a Shipping Act case or otherwise) constitutes fraud. As a matter of law, OOCL’s allegations cannot establish the second element of a § 41102(a) claim.

...There is simply no way, as a matter of law, that a facially legitimate dispute before the Commission can result in a complainant obtaining ocean transportation at less than applicable rates for purposes of § 41102(a). (Doc. 38 at 5)

The Commission:

We note that even if the counterclaim did contain the allegations OOCL makes in its brief, it is not evident that they would present the kind of fraud or concealment required to allege an “unfair device” under section 41102(a). The cases on which OOCL relies all appeared to involve some type of factual deception or misrepresentation inducing a carrier to carry or release cargo. (Doc. 66 at 18)

ALJ Ambrow:

OOCL’s original CC was dismissed because it failed to allege an unjust or unfair device or means where it alleged that SEA’s lawsuit, which survived a motion to dismiss, was the unjust or unfair means, and because it failed to allege that SEA obtained ocean transportation for less than applicable rates. (March 30 Order, at 4-5). Its amended pleadings have the same fundamental problems as the original pleadings. Therefore, it appears that allowing OOCL to amend further its AMCC and ATPC would be futile. (Doc. 98 at 13)

The crux of OOCL's argument that SEA's Verified Amended Complaint was an unjust or unfair device was thus objectively unreasonable and was "patently devoid" of legal support under controlling precedent. *See also Logfret, Inc.*, 2020 WL 13512913, at *4.

b. OOCL's Litigation Misconduct Needlessly Multiplied Proceedings

The Commission has also recognized that litigation misconduct and unnecessary multiplication of proceedings can justify fee awards, particularly where a party disregards ALJ or Commission orders or fails to terminate claims when their lack of merit becomes clear. *Edaf Antillas, Inc.* at *5; *Bakerly* at *26. While OOCL should have been aware of the lack of merit of its Counterclaim from the outset, OOCL was made keenly aware of its deficiencies upon the ruling of March 31, 2025. Yet OOCL nonetheless appealed its Counterclaim's dismissal, seeking leave to amend by suggesting alternative bases for its Counterclaim. When OOCL received leave to amend its counterclaim based on its representations of alternate bases, it merely re-glossed its original Counterclaim without a substantive change in argument, leading to the exact same result.

OOCL's pursuit of its frivolous Counterclaims imposed the burden on SEA to prepare multiple submissions in opposition and to vindicate its right to pursue its facially valid claim before the Commission. This effort should have been unnecessary. OOCL's continued pursuit of a clearly unsupportable argument could be nothing other than an attempt to discourage shippers and consignees from bringing valid Shipping Act complaints before the Commission by leveraging the nature of Brandolini's Law.³ OOCL's improper multiplication of proceedings well-justifies a fee award.

³ "Brandolini's Law," also known as the "[nonsense] asymmetry principle," is an adage that states "The amount of energy needed to refute [nonsense] is an order of magnitude bigger than that needed to produce it." https://en.wikipedia.org/wiki/Brandolini%27s_law. It appears to aptly describe the intended effect of OOCL's counterclaims.

c. Motivation and Deterrence

The motivation factor also supports an award. OOCL's Amended Counterclaim did not seek relief tied to any alleged underpayment of freight or seek the difference between purportedly discounted rates and applicable rates. Rather, it sought as "damages" the full amount of SEA's claimed reparations, thus attempting a theory of "circular" damages under which SEA would be liable to OOCL for reparations it anticipated SEA might be awarded against OOCL by the Commission, premised on SEA's filing of a facially valid complaint before the Commission. That tactic is especially troubling when, as here, employed by foreign controlled carriers against a US-based consignee.

This relief structure, combined with the lack of any factual allegations of fraud or concealment, strongly suggests that OOCL's fundamental aim was to pressure SEA into abandoning or compromising its claims, rather than as a genuinely distinct Shipping Act claim supported by Commission precedent. That is precisely the type of misconduct that the Commission should discourage. Surely there can be no doubt that the Shipping Act's purposes are furthered when shippers and consignees are able to bring good-faith complaints to the Commission challenging potentially unlawful practices without facing baseless mirror-image counterclaims. A fee award in this instance would send a clear signal that the Commission does not tolerate such abuses of those seeking to litigate legitimate Shipping Act complaints before the Commission, or of the Commission's forum itself.

d. Compensation

Finally, compensation considerations support a fee award. While both Complainant and Respondents are sophisticated parties, SEA has incurred substantial attorney fees solely because OOCL chose to plead, appeal and re-plead an ill-founded § 41102(a) claim. Leaving SEA to

absorb those costs would undermine the Commission's repeated assurances that while parties may litigate meritorious claims and defenses without fear of fee-shifting, the Commission will act to discourage the type of abusive or objectively unreasonable pleading that occurred here. An award for the fees SEA incurred in responding to OOCL's counterclaims and preparing this Petition appropriately balances compensation and deterrence without chilling legitimate Shipping Act litigation.

CONCLUSION

Granting SEA's petition furthers the purposes of the Shipping Act and is consistent with maintaining the Commission's role in providing a fair forum for the resolution of Shipping Act claims and disputes and encouraging cargo interests to exercise their rights under the Shipping Act. OOCL's facially frivolous claim that SEA's filing of a lawsuit that survived motion-to-dismiss scrutiny constitutes an "unjust or unfair device or means" to obtain transportation at less than applicable rates in violation of 46 U.S.C. § 41102(a) is a gambit intended to chill cargo interests and should be discouraged. For the foregoing reasons, SEA respectfully requests that the Presiding Officer find that SEA is both eligible and entitled to an award of reasonable attorney fees as outlined in the attached exhibits and grant such other and further relief as the Presiding Officer deems just and proper.⁴

⁴ As the parties continue to litigate the primary claims outlined in SEA's Verified Amended Complaint, SEA is mindful that it may seek fees and costs after the disposition of this entire matter is administratively final in accordance with 46 C.F.R. § 502.254, however, SEA files this petition to preserve its ability to seek costs in connection with OOCL's counterclaims even if the Presiding Officer defers ruling or determines such petitions are to be filed at a later date.

Dated: January 26, 2026

Respectfully Submitted,

MILLS BLACK LLP

By: /s/ Peter F. Black

Peter F. Black
H. Allen Black
Imran O. Shaukat
Kathryn Fitzgerald
1215 19th Street, NW
Washington, DC 20036
pblack@millsblack.com
hablack@millsblack.com
ishaukat@millsblack.com
kfitzgerald@millsblack.com

*Counsel to Samsung
Electronics America, Inc.*

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

1. Office of the Secretary
Federal Maritime Commission
secretary@fmc.gov
2. Hon. Richard Ambrow - *Administrative Law Judge*
Federal Maritime Commission
Judges@fmc.gov
3. MILLS BLACK LLP
Counsel for Complainant
 - a. Allen Black (hallenblack@millsblack.com)
 - b. Peter F. Black (pblack@millsblack.com)
 - c. Imran O. Shaukat (ishaukat@millsblack.com)
 - d. Kathryn Fitzgerald (kfitzgerald@millsblack.com)
4. JEFFREY/FENNEMAN LAW + STRATEGY, PLLC
Counsel for Respondents and Third-Party Complainants
 - a. Rebecca A. Fenneman (RFenneman@JeffreyFenneman.com)
 - b. Kaya C. Massey (KMassey@JeffreyFenneman.com)
 - c. Nicholas L. Webb (NWebb@JeffreyFenneman.com)
5. COZEN O'CONNOR
Counsel for Respondents and Third-Party Complainants
 - a. Wayne R. Rohde (wrohde@cozen.com)
 - b. Christopher Raleigh (craleigh@cozen.com)
 - c. Rachel Schwartz (rschwartz@cozen.com)
 - d. Kathryn Sobotta (ksobotta@cozen.com)
6. HOHENSTEIN & PARKINSON, LLP
Counsel for Third-Party Respondent
 - a. James H. Hohenstein (jim.hohenstein@hplawnyc.com)
 - b. Sheryl K. Parkinson (Sheryl.parkinson@hplawnyc.com)

Dated: January 26, 2026

By: /s/ Peter F. Black

Peter F. Black
MILLS BLACK LLP

*Counsel to Samsung
Electronics America, Inc.*